U.S. Debt: The Cost of Financing the Largest Deficit in the Developed World

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1. Current situation: high rates, sticky inflation, and a maturity wall

The Federal Reserve has held its benchmark rate in the 3.50%-3.75% range for five consecutive meetings (9-3 vote on July 29, 2026); the three dissenting members (Beth Hammack of Cleveland, Neel Kashkari of Minneapolis, and Lorie Logan of Dallas) called for a 25-basis-point **hike** — a sign that internal pressure toward tightening persists, not toward easing (CNBC, Aug. 17, 2026).

Inflation, meanwhile, is moderating but remains well above target: annual CPI came in at 3.4% in July 2026 (down from 4.2% in May, the peak driven by the energy shock from the Iran war), with core inflation at 2.5% (U.S. Bureau of Labor Statistics, CPI July 2026). Unemployment sits at 4.1% in July — the decline is partly explained by a shrinking labor force rather than stronger hiring: the participation rate (61.4%) is the lowest in more than five years outside the Covid era, and the economy shed 23,000 jobs that month (BLS, Employment Situation July 2026; NBC News, Aug. 7, 2026).

Against this backdrop, the bond market is sending a clear signal: the 30-year Treasury yield hit **5.31% on August 17, 2026**, its highest level since July 2007 — that is, just before the Great Recession (CryptoBriefing). This isn't an isolated spike: yields crossed the 5% threshold in early 2026 and have stayed there for the longest continuous stretch since before the financial crisis (Wolf Street, Aug. 1, 2026).

Barclays analysts attribute the rise less to inflation itself and more to the sheer volume of debt issuance, the competition for capital from the AI infrastructure spending boom, and a rising term premium (Axios, Aug. 17, 2026).

The other factor to watch: roughly **a third of Treasury debt held by the public matures in the next 12 months** — on the order of $8-10 trillion depending on the source and cutoff date (~$8 trillion per 24/7 Wall St, ~$9-10 trillion per Real Investment Advice and Deloitte). Much of that debt was issued in 2020-2022, when rates were at historic lows (a 30-year bond issued in August 2020 carried a coupon of just 1.4%). Refinancing that volume at current rates mechanically implies a jump in the cost of debt.

2. The cost of debt is already rising — and will rise further

The weighted average interest rate on total U.S. marketable debt is **3.44%-3.45%** (July 2026), up from 1.45%-1.48% just five years ago (U.S. Treasury Fiscal Data — Average Interest Rates). But that average blends cheap old debt with expensive new debt, and new issuance is already trading well above the average:

Instrument	Current yield (Aug. 2026)
52-week bills	3.76%-3.87%
10-year notes	4.43%-4.72%
30-year bonds	4.93%-5.31%

(Table sources: U.S. Treasury Fiscal Data, CryptoBriefing)

Since all maturing debt is reissued at these rates —clearly above the current 3.44% average— the average cost of debt is on an almost mechanically upward trajectory.

The effect is already visible in the budget: net interest expense runs at roughly **\$1.0-1.04 trillion in fiscal year 2026**, equivalent to close to **14%-15% of total federal spending** (13.95% per the CBO's FY2026 projection; the Peter G. Peterson Foundation cites a somewhat higher range depending on the cutoff month). Base source: CBO — The Budget and Economic Outlook: 2026 to 2036. For a sense of historical severity: interest expense as a share of GDP (≈3.2%-3.3%) is close to surpassing the U.S. all-time high dating back to 1940.

3. Foreign holders: Japan as a direct risk variable

3.1 Main foreign holders of U.S. debt

Country	Holdings of U.S. debt (Dec. 2025 / Apr. 2026)[1]	% of total foreign-held U.S. debt
Japan	\$1.21 trillion	≈12.8%-12.9%
United Kingdom	\$0.90-0.94 trillion	≈9.3%-10.0%
China	\$0.65-0.70 trillion	≈7.0%-7.4%

[1] Congressional Research Service — RS22331 (Dec. 2025) and PrimeRates / TIC (Apr. 2026) — both cited due to the small variance between them.

3.2 Total public debt of these same countries and their own degree of "internationalization"

Relevant reading for reallocation risk: The JGB market is overwhelmingly domestic (banks, insurers, Japanese pension funds, and the Bank of Japan itself). This means that rising Japanese yields don't depend on foreign investors exiting JGBs — they depend on Japan's own institutional investors (who have so far been massive buyers of Treasuries) finding it more attractive to stay home. There's already evidence of this: Japanese institutional investors sold a net $29.6 billion of Treasuries and other foreign bonds in Q1 2026 — the largest net quarterly sale since Q2 2022, in a repatriation move that coincides with rising domestic rates in Japan (BigGo Finance).

4. Corporate leverage: not just Oracle

Elevated leverage isn't confined to the Treasury. The U.S. corporate sector — particularly the large tech companies engaged in AI infrastructure capex— has also raised its leverage, though very unevenly across companies.

There's a very pronounced split within the sector itself. Microsoft, Alphabet, and Amazon maintain low leverage ratios by historical standards (though rising over time, as they finance a growing share of capex with debt). Meta has risen sharply in percentage terms, though from a near-zero base. **Oracle and CoreWeave stand out as the sector's clear outliers**.

Moody's explicitly flags them as the two names under the most credit pressure among the six major hyperscalers it tracks (Alphabet, Amazon, CoreWeave, Meta, Microsoft, and Oracle), with Oracle rated Baa2 (just two notches above high-yield) and CoreWeave already trading in the high-yield market itself (Ba3) (Forbes, Jul. 23, 2026; CNBC, Jul. 24, 2026).

A nuance on the sector's true scale of leverage, beyond the balance sheet: Moody's has noted that these six hyperscalers will collectively spend **$785 billion in 2026** and close to **$1 trillion in 2027** on data centers and high-performance infrastructure — and a large part of that figure doesn't appear as traditional balance-sheet debt, but as future lease and purchase commitments (off-balance-sheet) (Forbes, Jul. 23, 2026).

Nikkei estimate cited in July 2026, Microsoft, Amazon, Alphabet, Meta, and Oracle collectively hold close to **$1.65 trillion** in this type of obligation not reflected as debt; a later Wall Street Journal analysis (August 2026), expanding the sample to nine companies (adding Nvidia, Broadcom, AMD, and SpaceX), puts that figure at close to **$3 trillion** (Yahoo Finance / WSJ). These forward-commitment figures are considerably less independently verifiable than the balance-sheet ratios in the table above — they are flagged here explicitly as trade-press estimates, not audited balance-sheet data.

Why this connects to the macro thesis: an environment of high and rising sovereign yields directly raises the refinancing cost of this corporate debt as well. If the Treasury's "maturity wall" pushes yields broadly higher (via greater supply and a rising term premium), the effect passes through to the cost of capital across the entire credit market.

On top of that, the returns on this wave of AI infrastructure investment cannot yet be verified — most of this capex is still being deployed, and the revenue it's supposed to generate has not yet materialized in a way that can be independently confirmed. That adds a further layer of pressure on the market: leverage is rising on the assumption of future returns that remain unproven, so any repricing of yields hits before there is verifiable evidence that the investment is paying off.

5. The arithmetic of sustainability: r, g, and the narrowing margin

U.S. debt can be measured in two ways, and it's worth not conflating them: **gross total debt** stands at around **124.6%** of GDP (June 2026, CEIC Data), while **debt held by the public** (the portion that "competes" with the market, excluding what the government owes itself via Social Security and federal pension trust funds) stands at around **100.2%** (March 2026, CRFB).

Debt dynamics can be approximated with the following identity:

Change in Debt/GDP ≈ (r − g) × (Debt/GDP) − Primary deficit/GDP

Where *r* is the average interest rate on debt, *g* is nominal GDP growth, and the primary deficit is the total deficit excluding interest payments.

Verified data to fill in the formula:

- **Total government spending (FY2026):** ≈$7.45 trillion (23.3% of GDP) — CBO
- **Revenue (FY2026):** ≈$5.60 trillion (17.5% of GDP) — CBO
- **Total deficit:** the CBO revised its forecast upward in August 2026 to **$2.1 trillion**, $200 billion more than expected in February
- **r (average rate on debt):** 3.44%-3.45% — U.S. Treasury Fiscal Data
- **g (nominal GDP growth):** real GDP grew 2.1% in Q1 2026 and slowed to 1.5% in Q2 (BEA); with inflation at 3.4%, and cross-checking against nominal GDP in dollar terms (from ≈$30.8 trillion in 2025 to ≈$32.4 trillion in 2026, IMF/Worldometer, a ≈5.1% year-over-year increase)

My own estimate — not a single official figure: with the total deficit revised to $2.1 trillion and interest expense of ≈$1.0-1.04 trillion, the approximate primary deficit (total deficit minus interest) would be **≈$1.0-1.1 trillion**, or roughly **3.1%-3.4% of GDP** (using the $32.4 trillion nominal GDP figure). This figure is a subtraction I'm making from the two official data points above, not a figure published directly in that format by the CBO.

With these numbers, the (g − r) margin is only 1-2 percentage points — far narrower than in previous decades, and largely dependent on the inflationary component of nominal growth rather than real growth alone. As long as that margin stays positive, growth alone "dilutes" part of the weight of existing debt. But since the primary deficit remains sizable, that dilution effect isn't enough to offset it on its own under the current scenario: the CBO projects debt held by the public rising from 99% (2025) to 101% (2026) and up to 120% of GDP by 2036 — in other words, the underlying trajectory is already upward in the baseline scenario, even with g > r (CBO).

The tail risk underlying all of this: the model implicitly assumes *r* is a relatively stable variable, when in reality the debt level itself can push *r* higher (more supply, more risk premium demanded by the market), and a *g* that slows down —due to a recession, a geopolitical shock, or the end of the current AI investment cycle that is sustaining much of current growth— would shrink the equation's denominator right when it's needed most. In that scenario, both terms of the formula would start pushing Debt/GDP upward simultaneously.

General methodological note: every figure flagged in the text as my own estimate (the primary deficit in section 5, and the contextual notes on off-balance-sheet debt in section 4) is a calculation or synthesis I made from verifiable official data linked alongside it, not a figure published directly in that format by the original source. Where sources disagreed on a given figure, the different values found are presented rather than arbitrarily picking one.

Conclusions

Based on all of the above, this analysis's thesis is that the market and U.S. authorities have strong incentives to try to ease the cost of debt refinancing over the coming quarters, and that this pressure could materialize on three fronts, in the following sequence:

1. Resolution of the Iran conflict within roughly 4 months. Ending the war would give rates time to start falling before most of the short-term refinancing "wall" comes due (recall the ~33% of debt maturing in the next 12 months), allowing that debt to be refinanced at a lower cost than today's.

2. Falling inflation as a result of the war ending, and a Fed rate cut within 4-12 months. With the energy shock dissipated, inflation should moderate, opening room for the Fed to cut its benchmark rate — the degree of the resulting yield decline would depend on the resulting inflation level. Unemployment, which has shown relative resilience to the downside (4.1% in July, with the participation rate falling), could be another factor pushing the Fed toward a more accommodative stance if it begins to deteriorate.

3. Possible resumption of QE by the Fed. The Fed's balance sheet remains relatively small following the QT cycle. Although the current chair, Kevin Warsh, has explicitly opposed this tool and has prioritized the rate lever over the balance-sheet lever, if inflation comes under control in the scenario described in point 2, a window could open for the Fed to resume some degree of asset purchases — which would help lower long-term yields, particularly in the segment where most of the refinancing risk is concentrated.

NOTE: This article does not constitute investment advice, and the goal here is for you to be able to trace every claim back to its source and make up your own mind.